



AI Governance Guide for Regulated Organizations

Securities and Exchange Commission (SEC)

A practical framework for governing AI tools under SEC requirements — inventory, policy, controls, and monitoring.

1. Regulatory Landscape for AI Under SEC

The SEC has signaled aggressive oversight of AI use in financial services. Key frameworks include:

- Investment Advisers Act 206: AI-driven recommendations may constitute investment advice subject to fiduciary duty.
- Proposed Rule on Predictive Data Analytics (2023): Would require advisers and broker-dealers to evaluate and neutralize conflicts of interest in AI/predictive models.
- Regulation S-P: Requires safeguarding client data used by AI systems.
- Form ADV Disclosure: Firms must disclose AI use in investment decision-making and associated risks.
- Risk signal: The SEC has charged firms for AI-washing. Your governance posture must be defensible, documented, and consistent with public disclosures.

2. AI Inventory and Classification

Every AI tool your firm uses must be catalogued before it can be governed. Build and maintain:

- AI Asset Register: Tool name, vendor, version, deployment date, use case, data inputs, decision outputs.
- Risk Classification: Classify each tool as Low, Medium, or High based on whether it touches client assets or recommendations, processes regulated data, or produces autonomous outputs.
- Vendor Due Diligence: For third-party AI, obtain vendor AI governance documentation, SOC 2 Type II, and data processing agreements.
- SEC exam readiness: Examiners will ask for your AI inventory on Day 1. If you cannot produce it, you are starting from a deficit.

3. Conflict of Interest Analysis

Under the proposed Predictive Data Analytics rule, firms must:

- Identify any AI model that could place firm interests ahead of client interests.
- Document the conflict analysis methodology.
- Implement neutralization measures: configuration changes, human override requirements, or model replacement.
- Maintain records of the analysis and remediation for examination.

- Even if the rule is not finalized, the underlying fiduciary duty obligation is already enforceable.

4. Recordkeeping for AI Systems

SEC recordkeeping rules apply to AI-generated outputs when those outputs constitute records:

- Communications: AI-drafted client communications are books and records.
- Trade Recommendations: If AI generates or influences recommendations, the basis for those recommendations is a required record.
- Surveillance Outputs: AI surveillance alerts, dispositions, and escalations must be retained.
- Audit Logs: Retain AI model version history, configuration changes, and retraining events.
- Retention: 3 years accessible and 6 years total for most broker-dealer records. Adviser records: 5 years.

5. Supervision Framework

Your written supervisory procedures must be updated to address AI:

- Designated AI Supervisor: Assign a named individual responsible for AI governance.
- Review Cadence: Establish periodic review of AI outputs for accuracy, bias, and regulatory compliance.
- Escalation Path: Define what triggers human review of AI-generated outputs.
- Testing Protocol: Annual testing of AI systems for conflict of interest and suitability alignment.
- Change Management: Any material change to an AI system triggers a fresh governance review.

6. SEC Exam Preparation Checklist

Before an SEC examination, confirm you can produce:

- Current AI asset inventory with risk classifications
- Written AI governance policy signed by senior management
- Conflict of interest analysis for each client-facing AI tool
- Updated WSPs referencing AI supervision
- Vendor agreements with AI and data governance provisions
- Records of AI training, configuration, and version changes

- Evidence of periodic AI review including testing results and meeting minutes
- Disclosure documents including Form ADV reflecting AI use

NEXT STEP

Build Your Governance Roadmap

Reading this guide is step one. Step two is knowing exactly where your organization stands and what it takes to close the gaps before a regulator does it for you.

Our assessment delivers a prioritized governance roadmap tailored to your regulatory environment.

WHAT THE ASSESSMENT DELIVERS

- ✓ AI usage discovery across your organization
- ✓ Governance gap analysis by regulatory framework
- ✓ Infrastructure and vendor AI risk review
- ✓ Regulatory exposure analysis (SEC, FINRA, HIPAA)
- ✓ Prioritized governance roadmap
- ✓ Board-ready executive summary
- ✓ Regulatory readiness score by framework

Book Your Assessment →

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